Bajaj Finance Ltd

BAJFINANCE

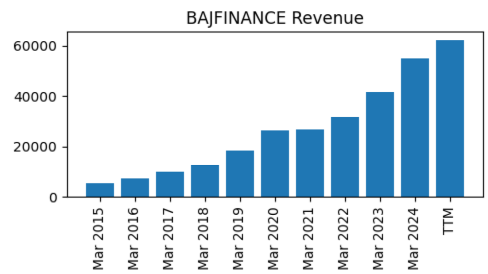
Key Financial Metrics

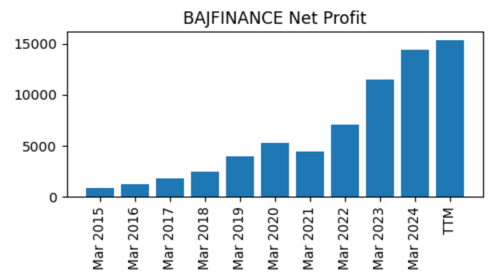
ROE 17.73%	**ROCE** 4.61%	**Debt / Equity** 3.74
Revenue CAGR 29.43%	**FCF Conversion** -503.49%	**Quality Score** 42.15

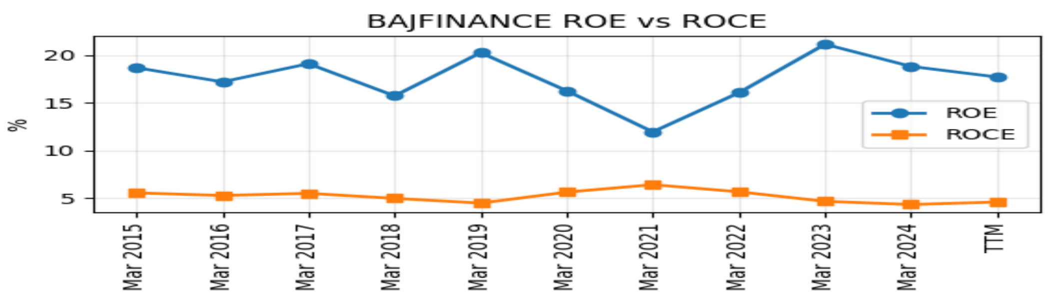
Company Profile

Company	Bajaj Finance Ltd
Sector	Financials
Industry	Consumer Finance
Market Cap (■ Cr)	2,473,271.58
P/E Ratio	69.20
P/B Ratio	4.11
Dividend Yield	0.27%

Financial Performance







AI Investment Summary

Bajaj Finance Ltd currently faces multiple financial challenges that increase investment risk. It currently has healthy profitability, average capital efficiency, rapid revenue growth, accrual risk cash-flow quality and elevated leverage. The overall financial quality score is 42.1/100. Key strengths include: Profits are compounding faster than revenue, indicating improving operating leverage and scalability.; Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.; Operating profit margin above 25% indicates strong pricing power and cost discipline.. Key risks include: High leverage relative to equity can restrict future capital flexibility.; Return on capital employed below 10% indicates weak capital efficiency.; Two consecutive years of negative free cash flow point to weak cash generation.. Investment recommendation: Reduce. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

Pros	Cons
• Profits are compounding faster than revenue, indicating improving operating leverage and scalability. • Revenue growing at above 15% CAGR over 5 years reflects strong business momentum. • Operating profit margin above 25% indicates strong pricing power and cost discipline. • Net profit compounding at above 20% over 5 years creates significant shareholder value. • Very high interest coverage ratio reflects negligible financial stress from debt servicing.	• High leverage relative to equity can restrict future capital flexibility. • Return on capital employed below 10% indicates weak capital efficiency. • Two consecutive years of negative free cash flow point to weak cash generation.

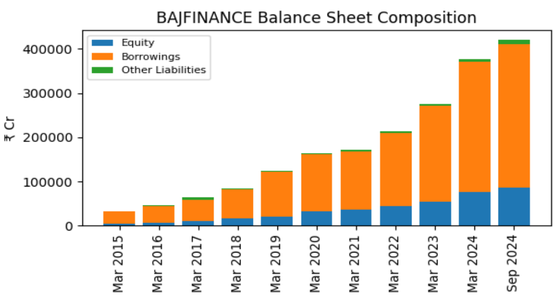
Investment Recommendation

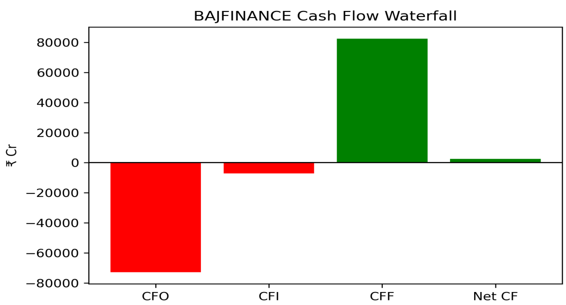
Recommendation	**REDUCE**
Risk Level	HIGH
Confidence	LOW

Recommendation Reason:
The recommendation is based on an adjusted financial score of 44.1/100, supported by 5 identified strengths, 3 identified risks, and cash-flow quality rated as Accrual Risk.

Adjusted Score: 44.1

Balance Sheet & Cash Flow





Financial Health

Profitability	Moderate
Growth	Strong
Cash Flow	Weak
Leverage	Weak
Valuation	Expensive

Capital Allocation

Growth Funded by Debt